

IonQ

NYSE : IONQ · Young-Company DCF \$15.12B mkt cap · 373M sh · \$2.39B cash, zero debt · \$470M RPO (+554% YoY) at Q1 2026; SkyWater acq. (~\$1.8B cash+stock; FTC 2nd Request — unclosed)

\$40.51

THE CENTRAL QUESTION

Can IonQ capture meaningful share of a \$50B global quantum TAM by 2036 with its trapped-ion stack — or is a \$13B market cap pricing certainty Quantinuum, Google, and neutral-atom don't support?

IonQ trades at ~\$13B against a \$260-270M FY26 guide — P/S ~50× after July's sector de-rating halved the quantum complex (no adverse IonQ filing). \$2.39B cash + \$470M RPO + the \$1.8B SkyWater chip-fab deal (FTC review pending) is the optionality. Trapped-ion gives ~99.9%+ 2Q fidelity; AQ#64 hit three months early. But the competitive set is brutal: Quantinuum IPO'd at >\$14B with better logical-qubit performance, Google's Willow demonstrated verifiable advantage on chemistry, and neutral-atom scaled past 1,200 qubits. Honest math: cash-feasible raise schedules force heavy dilution before commercial inflection. Five scenarios, weighted; show your work.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$9.07 expected fair value today
-77.6% vs spot \$40.51

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$12.99	\$18.63	\$26.74	\$38.41
0.32× spot	0.46× spot	0.66× spot	0.95× spot

WEIGHTING RATIONALE

Ultra Bear 10% Trapped-ion scaling wall + Quantinuum dominance + commercial quantum advantage delayed past 2030; equity wipes via dilution.

Bear 30% Quantinuum's IPO + better logical qubits push IonQ to #2 within trapped-ion; smaller TAM than consensus.

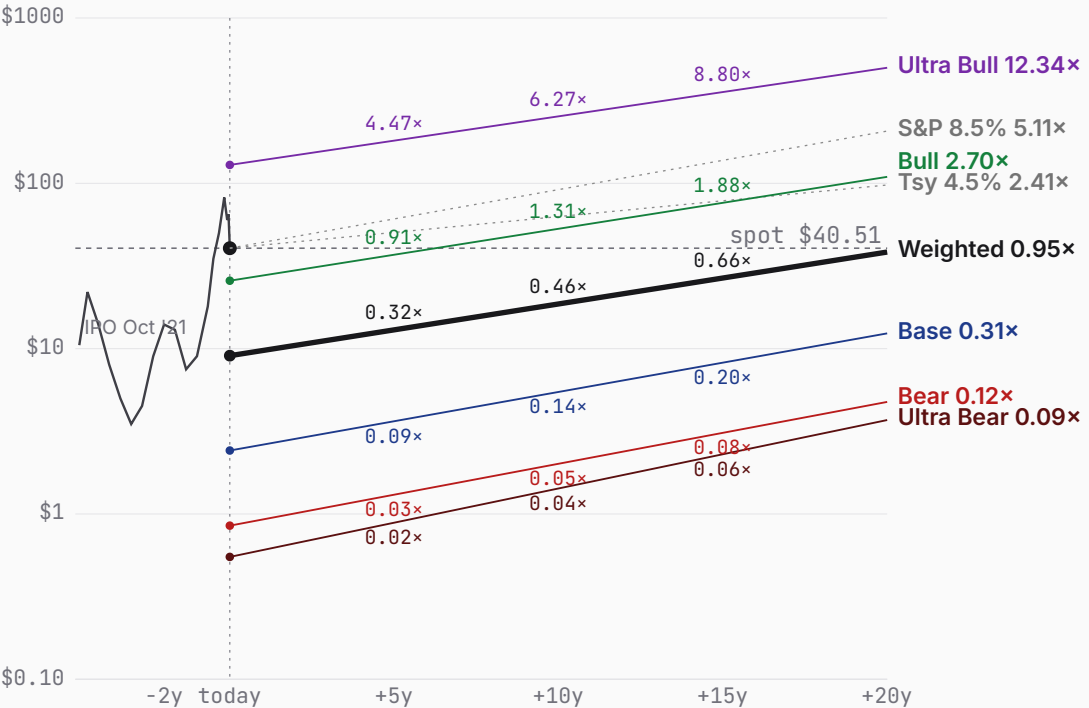
Base 42% Sequential execution on roadmap; co-leader duopoly with Quantinuum at ~8% TAM share and 17% mature margin.

Bull 15% Vertical SkyWater integration pays off; IonQ wins trapped-ion premium and platform race.

Ultra Bull 3% Tail of tails: Nvidia-of-quantum + TAM upside + competitor stumbles + multiple expansion.

Bull (15%) + Ultra Bull (3%) together contribute \$7.74 — 85% of the \$9.07 expected value despite 18% combined probability. Today's spot (\$40.51) sits 347% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$0.55	BEAR	\$0.85	BASE	\$2.42	BULL	\$25.76	ULTRA BULL	\$129.21
	-98.6% vs spot		-97.9% vs spot		-94.0% vs spot		-36.4% vs spot		+219.0% vs spot
TAM 0.7% P(fail) 60% S2C 0.6 Prob 10%		TAM 2.8% P(fail) 18% S2C 1.0 Prob 30%		TAM 7.6% P(fail) 12% S2C 1.3 Prob 42%		TAM 16.0% P(fail) 8% S2C 1.5 Prob 15%		TAM 32.0% P(fail) 4% S2C 1.7 Prob 3%	
Trapped-ion sidelined; equity wiped.		Quantinuum wins; IonQ #2 niche.		Co-leader w/ Quantinuum; ~17% mgn.		Trapped-ion wins; full-stack mgn.		Nvidia-of-quantum; premium re-rate.	



IonQ scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 10% Bear 30% Base 42% Bull 15% Ultra Bull 3% · Weighted expected \$9.07 (-77.6% vs spot)

ULTRA BEAR	\$0.55	BEAR	\$0.85	BASE	\$2.42	BULL	\$25.76	ULTRA BULL	\$129.21
	-98.6% vs spot		-97.9% vs spot		-94.0% vs spot		-36.4% vs spot		+219.0% vs spot

Probability 10%

Trapped-ion sidelined; equity wiped.

WHY 10%

10% reflects three compounding tail risks specific to trapped-ion: fundamental scaling ceiling around 100-500 qubits — credible physicists still debate this; Quantinuum's commercial dominance within the trapped-ion category after its >\$14B Jun 2026 IPO; the broader risk that "useful" quantum advantage stays elusive through 2030, starving the whole sector. Each individually 25-35%; conjunctive 8-12%. The FTC's pending Second Request on SkyWater adds a live blocked-deal branch to this tail.

WHAT HAPPENS

Structural failure. Quantum advantage on commercial problems takes longer than the bull-deck slides project (BCG's revised "broad advantage 2030-2040" view); the NISQ era stays a science-fair through 2030. IonQ burns \$400-600M annually to AQ#256 with no commensurate revenue ramp. Worse, trapped-ion architecture hits a fundamental scaling wall around AQ#100: ion-shuttling complexity, vacuum-chamber engineering, and laser-stability budgets all degrade nonlinearly. Quantinuum's H-series, with the same physics and Honeywell's industrial-scale manufacturing, edges ahead and consolidates the trapped-ion niche.

Meanwhile superconducting (IBM Nighthawk, Google Willow) achieves first verified commercial advantage at a price IonQ can't match per-shot. Neutral-atom scales past 2,000 atoms by FY28 and wins the cost curve. The FTC blocks the SkyWater deal, so there is no captive fab — and no fab to salvage. IonQ's \$470M RPO converts but never grows; FY30 revenue stalls below \$400M against \$500M+ cash burn. Cash exhausts mid-2029. Successive raises from \$28 down to \$2 roughly triple the share count; by FY32 IonQ is taken private at a token premium. With 60% within-scenario p_fail, distress recovery ~\$0.80. Expected per share ~\$0.55.

Probability 30%

Quantinuum wins; IonQ #2 niche.

WHY 30%

Quantinuum's completed Jun 2026 IPO — priced above range at a >\$14B valuation, \$1.68B raised — with materially better logical-qubit performance (48 logical at 99.92%) is a real competitive shift — Honeywell mfg + Cambridge Quantum SW is the most credible full-stack competitor. The broader quantum TAM consistently underperforms forecasts. IonQ executes technically but the pie is smaller and Quantinuum eats the premium slice. Within-scenario 18% p_fail reflects that even in the bear world, IonQ's cash position and DARPA contracts likely prevent bankruptcy. 30% weight reflects high-base-rate competitive entry has already happened.

WHAT HAPPENS

Execution exists but the market shape disappoints. IonQ delivers AQ#256 by 2027, but the FTC's April 2026 Second Request ends with the SkyWater acquisition blocked or abandoned — no captive fab, no 200K-qubit chip in 2028; the \$2.39B cash stays put. Commercial demand stays government- and research-heavy: DARPA QBI, DOE, NQI, a handful of pharma POCs. A Feb 2026 short report alleging most 2022-24 revenue was Pentagon-tied (contested, unconfirmed by any filing; partially offset by the MDA SHIELD and DARPA HARQ wins) is the sharpest dated evidence for that demand shape. Quantinuum's deeper logical-qubit lead wins enterprise mind-share post-IPO; IonQ becomes the credible #2 in trapped-ion, losing the big AWS/Azure/GCP enterprise-deployment race to superconducting.

Revenue ramps to ~\$1.4B FY36 — strong absolute growth but tiny vs bull-deck \$5B+. Without the fab, IonQ rents external foundry capacity and the margin ceiling drops. Operating margin matures around 8% — better than legacy services but well below cloud-software economics the current multiple implies. Cash burn averages \$300-400M through FY29; two raises (\$400M + \$1.0B) at \$30-20 prices — cash-feasible from a \$35 stock — add ~58M shares. Final ~432M. With 18% within-scenario p_fail, DCF/share ~\$0.93; expected ~\$0.85.

Probability 42%

Co-leader w/ Quantinuum; ~17% mgn.

WHY 42%

Highest single bucket because the base requires no breakthrough — sequential execution on plans in motion (Tempo shipping, SkyWater vertical integration, AQ roadmap ahead of schedule, DARPA QBI participation, RPO converting). Coexistence with Quantinuum mirrors duopoly outcomes in adjacent deep-tech markets (AMD/Intel, ASML/Nikon). 42% sits below typical 50-55% base weights because quantum has more genuine tail risk than most categories — thin middle ground between "works commercially" and "doesn't." Five- scenario structure with fatter tails forces base weight down.

WHAT HAPPENS

Modal outcome. IonQ executes the published roadmap roughly on schedule: AQ#64 done, AQ#256 by 2027, SkyWater fab chips back in 2028, the 200K-qubit-chip class reached 2028-29. Quantinuum is a credible co-leader; the trapped-ion sub-segment becomes a duopoly (~50/50 share), with IonQ winning roughly half the US government, defense, and large-enterprise quantum-cloud business via existing AWS Braket / Azure Quantum / GCP integration. Neutral-atom takes cost-sensitive optimization; superconducting takes most "deep stack" enterprise via IBM/Google brand.

By FY36 IonQ does ~\$3.8B revenue (~7.6% of \$50B TAM) at 17% mature operating margin — better than legacy hardware but below cloud-SaaS. SkyWater fab supplies internal demand plus third-party defense- electronics revenue. RPO converts steadily; multi-product customer share rises 35% → 60%+. Cash burn troughs at ~\$350M in FY28; a \$2.5B raise programme across years 1-7 at \$35-65 — starting at spot, recovering as milestones land — keeps cash≥0. SkyWater stock-portion dilution (~25M) folded in. Final shares ~451M. DCF/share ~\$2.55; with 12% within-scenario p_fail, expected ~\$2.42 — well below today's ~\$35 spot.

Probability 15%

Trapped-ion wins; full-stack mgn.

WHY 15%

Chain of conditionals: AQ#256 ~on schedule (~70%), SkyWater 200K-qubit chip delivered 2028 (~60%), IonQ — not Quantinuum — captures the trapped-ion premium position (~50%), trapped-ion beats neutral-atom and superconducting on commercially relevant workloads at scale (~50%), DARPA/DOE flows weighted to IonQ (~60%). Each individually plausible; joint ~6-8% before correlation; correlated upward to ~12-18% because conditional outcomes reinforce. 15% is a real but non-modal tail.

WHAT HAPPENS

Trapped-ion is correct architecture and SkyWater compounds. By 2028 vertical integration via SkyWater proves out: the 200K-qubit chip arrives on schedule, error correction works, and IonQ demonstrates verifiable commercial quantum advantage on a customer workload (likely chemistry or optimization for a Fortune 50). Quantinuum stays credible #2 within trapped-ion but IonQ's vertical fab + cloud-native distribution wins the platform race. Neutral-atom struggles with fault tolerance; superconducting stalls between AQ-equivalent #500 and #2000 due to error-correction overhead.

Revenue ramps to ~\$8B FY36 (~16% TAM share) with 27% mature operating margin — the SkyWater fab is now monetizing third-party customers as the dominant US trusted quantum-chip foundry. DARPA HARQ scales into a multi-billion national-security program. Federal NQI funding flows disproportionately to IonQ. Cash burn troughs FY28 then turns positive by FY30. A \$3.4B raise programme across years 1-7 at \$45-75 keeps cash≥0. Final shares ~457M. DCF/share ~\$28; with 8% within-scenario p_fail, expected ~\$26.

Probability 3%

Nvidia-of-quantum; premium re-rate.

WHY 3%

Conjunctive bull chain × TAM upside × multiple expansion × competitor collapse. Each piece individually 40-60%; joint ~3-5%. Genuine tail capturing the world where quantum becomes a category- defining tech platform and IonQ is the dominant US pure-play. The asymmetrical-moonshots tier's reason-for-being: real upside that you can't get to without it.

WHAT HAPPENS

Tail of tails. Every Bull condition hits AND the FY36 TAM is materially larger than consensus (Roots Analysis \$198B FY40 trajectory, McKinsey upper-bound \$72B by 2035 just for computing) AND IonQ achieves de facto platform monopoly in trapped-ion + becomes a meaningful chip foundry via SkyWater. Quantinuum struggles with IPO-era execution; superconducting hits fault- tolerance walls that trapped-ion's higher native fidelity sidesteps. IonQ becomes the "Nvidia of quantum" — vertically integrated, full-stack, with AWS/Azure/GCP installed customer base creating a software flywheel.

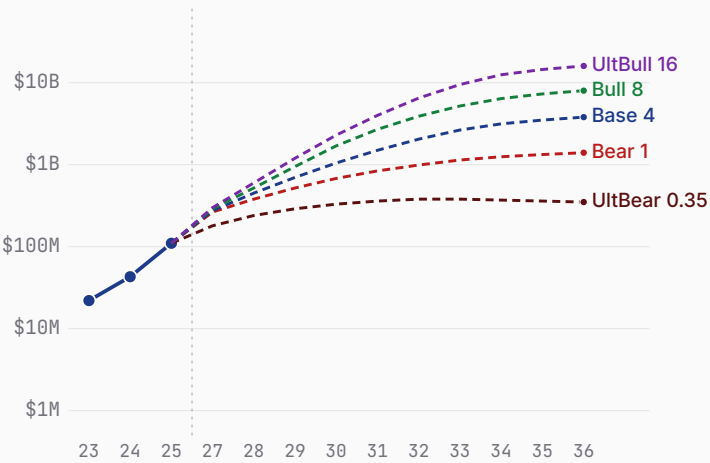
By FY36 IonQ does \$16B+ revenue at 33% mature operating margin (full-stack hardware + cloud + software-take-rate on partner apps). SkyWater fab serves the entire US national-security stack. Multiple expansion to software-hybrid premium. Modest \$3.1B raise in years 1-6 at \$55-90 maintains runway. Final shares ~441M. DCF/share ~\$134; with 4% p_fail, expected ~\$129.

IonQ business snapshot

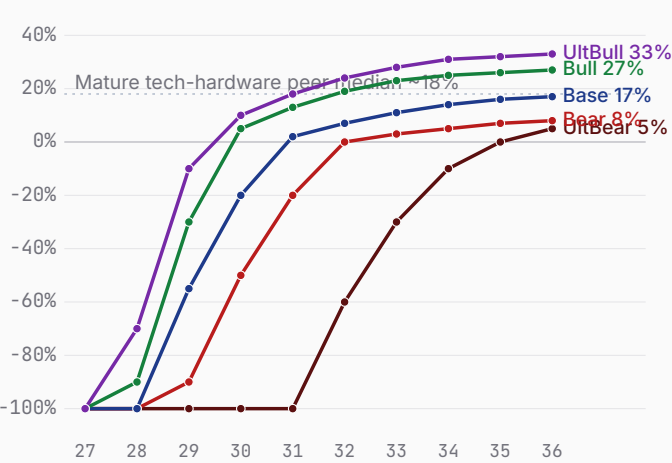
Bear \$0.85 Base \$2.42 Bull \$25.76

FY23-FY25 history + FY26 (guide) + FY27-FY36 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1 2026 10-Q, McKinsey Quantum Monitor 2026

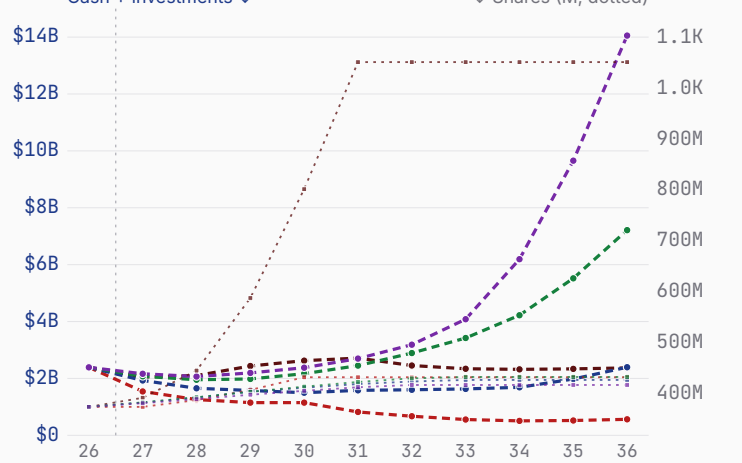
Revenue — history + scenarios to FY36 (log)



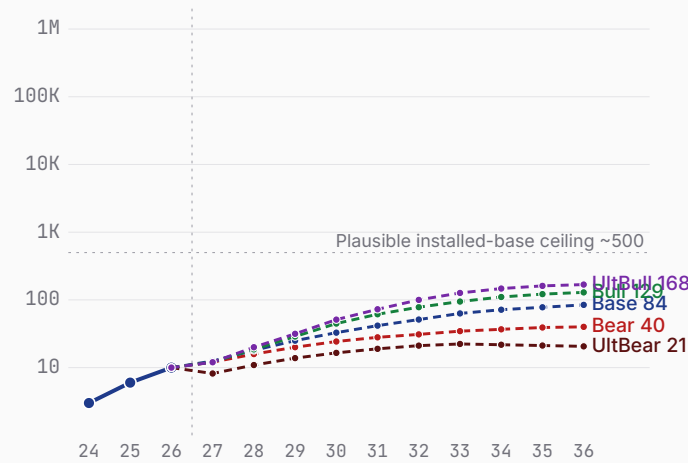
Path to profitability — op margin (FY27→FY36)



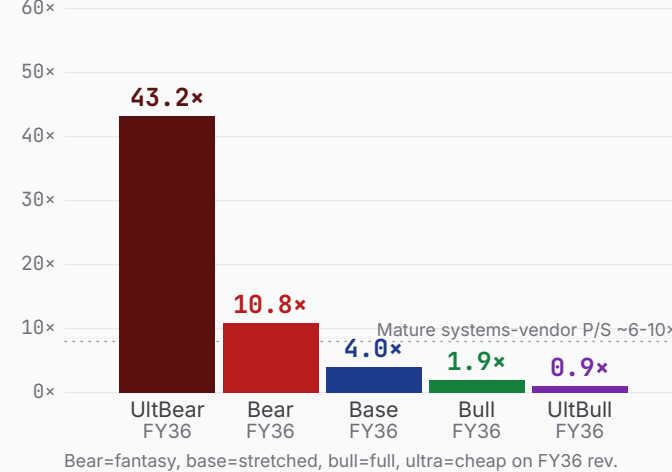
Cash + dilution (FY26 → FY36)



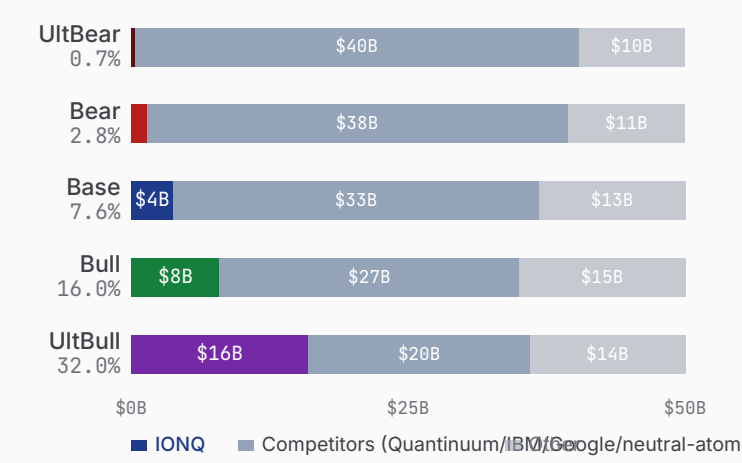
AQ#20+ class systems deployed (log)



\$15.12B mkt cap as P/S on FY36 rev



\$50B global quantum TAM (FY36) — IONQ share



Sources: IONQ Q1 2026 10-Q, FY25 10-K, IonQ Q1'26 earnings (8-K), Quantinuum S-1, McKinsey Quantum Technology Monitor 2026, BCG quantum value-creation revision, DARPA QBI Stage B selections (Nov 2025).

IonQ 7 Powers · the moat, scored

Bear \$0.85 Base \$2.42 Bull \$25.76

Arena. The race to a ~\$50B FY36 fault-tolerant quantum-computing TAM — trapped-ion (IonQ, Quantinuum) vs. superconducting (Google, IBM) vs. neutral-atom (QuEra, Pasqal, Atom Computing). **POWER ORIENTATION**
origination window: open

POWER ORIENTATION · 7 POWERS

Scale Economies	SkyWater fab vertical integration begun; not yet a cost-curve advantage.
Network Economies	No developer/data flywheel; cloud reach via AWS/Azure is rented, not owned.
Counter-Positioning	Trapped-ion stack incumbents can't pivot to without abandoning sunk superconducting fabs.
Switching Costs	\$470M RPO; algorithms compiled to IonQ's native gate set raise re-port cost.
Branding	Strong research credibility (AQ#64 early); not yet the enterprise default.
Cornered Resource · thesis leans here	Trapped-ion IP portfolio + SkyWater fab; Maryland/Duke talent lineage.
Process Power	Fidelity yield improving each generation; not yet a durable, opaque process edge.

COMPETITIVE READ

Real trapped-ion cornered-resource and counter-positioning leads, but network and scale power are unoriginated and Quantinuum's logical-qubit edge is the falsifier to watch; the origination window is open, but not indefinitely.

THE RACE · NAMED RIVALS

Quantinuum	~\$3B+ raised incl. \$1.68B IPO
~20% terminal share · Helios: 48 logical qubits @ 99.92%; >\$14B Jun '26 IPO (QNT); Honeywell-backed.	
Google Quantum AI	Alphabet balance sheet
~16% terminal share · Willow: verifiable quantum advantage demonstrated.	
IBM Quantum	IBM balance sheet
~14% terminal share · Nighthawk roadmap to 1,080 qubits; deep enterprise channel.	
Neutral-atom (QuEra/Pasqal/Atom)	\$300M+ aggregate
~10% terminal share · 1,200+ physical qubits in 18 months; different error profile.	

LEAD / LAG · FALSIFIERS

Algorithmic qubits (AQ)	64 vs 56	LEADING
Logical qubits @ >=99.9%	36 vs 48	LAGGING
Cash runway (yrs at burn)	4 vs 5	LAGGING

IonQ show your work

Bear \$0.85 Base \$2.42 Bull \$25.76 · Weighted \$9.07 (-77.6%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL									
\$0.55					\$0.85					\$2.42					\$25.76					\$129.21									
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS									
TAM Year-10 (\$B)					50	TAM Year-10 (\$B)					50	TAM Year-10 (\$B)					50	TAM Year-10 (\$B)					50						
Mature share (%)					0.7	Mature share (%)					2.8	Mature share (%)					7.6	Mature share (%)					32.0						
Mature op margin (%)					5	Mature op margin (%)					8	Mature op margin (%)					17	Mature op margin (%)					33						
Sales-to-capital					0.6	Sales-to-capital					1.0	Sales-to-capital					1.3	Sales-to-capital					1.7						
Terminal WACC (%)					10.0	Terminal WACC (%)					9.0	Terminal WACC (%)					8.5	Terminal WACC (%)					7.0						
Terminal growth (%)					1.5	Terminal growth (%)					2.0	Terminal growth (%)					2.5	Terminal growth (%)					3.5						
P(failure) (%)					60	P(failure) (%)					18	P(failure) (%)					12	P(failure) (%)					4						
Scenario probability (%)					10	Scenario probability (%)					30	Scenario probability (%)					42	Scenario probability (%)					3						
10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B									
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF					
FY27	0.18	-300%	-0.64	-0.56	FY27	0.27	-220%	-0.70	-0.61	FY27	0.28	-200%	-0.69	-0.61	FY27	0.29	-180%	-0.68	-0.60	FY27	0.30	-150%	-0.63	-0.56					
FY28	0.24	-250%	-0.70	-0.54	FY28	0.38	-150%	-0.73	-0.57	FY28	0.45	-120%	-0.71	-0.56	FY28	0.52	-90%	-0.77	-0.61	FY28	0.60	-70%	-0.77	-0.63					
FY29	0.29	-200%	-0.66	-0.45	FY29	0.52	-90%	-0.63	-0.43	FY29	0.70	-55%	-0.64	-0.45	FY29	0.95	-30%	-0.79	-0.57	FY29	1.20	-10%	-0.83	-0.61					
FY30	0.33	-150%	-0.56	-0.34	FY30	0.68	-50%	-0.49	-0.30	FY30	1.05	-20%	-0.56	-0.35	FY30	1.70	+5%	-0.75	-0.49	FY30	2.30	+10%	-0.89	-0.60					
FY31	0.36	-100%	-0.41	-0.22	FY31	0.84	-20%	-0.32	-0.18	FY31	1.50	+2%	-0.42	-0.24	FY31	2.70	+13%	-0.72	-0.42	FY31	4.00	+18%	-0.75	-0.47					
FY32	0.38	-60%	-0.26	-0.12	FY32	0.99	+0%	-0.15	-0.07	FY32	2.05	+7%	-0.41	-0.21	FY32	3.90	+19%	-0.56	-0.30	FY32	6.50	+24%	-0.20	-0.12					
FY33	0.38	-30%	-0.11	-0.05	FY33	1.14	+3%	-0.08	-0.03	FY33	2.65	+11%	-0.31	-0.14	FY33	5.20	+23%	-0.10	-0.05	FY33	9.50	+28%	+0.90	+0.47					
FY34	0.37	-10%	-0.04	-0.01	FY34	1.25	+5%	-0.02	-0.01	FY34	3.15	+14%	-0.06	-0.03	FY34	6.40	+25%	+0.40	+0.18	FY34	12.50	+31%	+2.11	+1.04					
FY35	0.36	+0%	+0.00	+0.00	FY35	1.33	+7%	+0.01	+0.01	FY35	3.50	+16%	+0.21	+0.08	FY35	7.30	+26%	+1.00	+0.42	FY35	14.50	+32%	+3.46	+1.59					
FY36	0.35	+5%	+0.02	+0.01	FY36	1.40	+8%	+0.04	+0.01	FY36	3.80	+17%	+0.35	+0.13	FY36	8.00	+27%	+1.46	+0.58	FY36	16.00	+33%	+4.40	+1.89					
Σ PV explicit FCF					-2.28	Σ PV explicit FCF					-2.20	Σ PV explicit FCF					-2.38	Σ PV explicit FCF					-1.87	Σ PV explicit FCF					+2.01
+ PV terminal (g 1.5%)					0.07	+ PV terminal (g 2.0%)					0.21	+ PV terminal (g 2.5%)					2.13	+ PV terminal (g 3.0%)					13.19	+ PV terminal (g 3.5%)					55.89
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE									
Operating EV					\$-2.21B	Operating EV					\$-1.99B	Operating EV					\$-0.25B	Operating EV					\$11.32B	Operating EV					\$57.90B
+ Cash & investments					\$2.39B	+ Cash & investments					\$2.39B	+ Cash & investments					\$1.40B	+ Cash & investments					\$1.40B	+ Cash & investments					\$1.40B
= Equity value					\$0.18B	= Equity value					\$0.40B	= Equity value					\$1.15B	= Equity value					\$12.72B	= Equity value					\$59.30B
Raised over period					\$3.50B	Raised over period					\$1.40B	Raised over period					\$2.50B	Raised over period					\$3.40B	Raised over period					\$3.10B
Dilution by FY36					+65%	Dilution by FY36					+16%	Dilution by FY36					+21%	Dilution by FY36					+22%	Dilution by FY36					+18%
FY36 shares (M)					1,052	FY36 shares (M)					432	FY36 shares (M)					451	FY36 shares (M)					457	FY36 shares (M)					441
DCF per share					\$0.17	DCF per share					\$0.93	DCF per share					\$2.55	DCF per share					\$27.83	DCF per share					\$134.47
× (1-P_fail) [40%]					\$0.07	× (1-P_fail) [82%]					\$0.76	× (1-P_fail) [88%]					\$2.24	× (1-P_fail) [92%]					\$25.60	× (1-P_fail) [96%]					\$129.09
+ P_fail × distress [60% × \$0.80]					\$0.48	+ P_fail × distress [18% × \$0.50]					\$0.09	+ P_fail × distress [12% × \$1.50]					\$0.18	+ P_fail × distress [8% × \$2.00]					\$0.16	+ P_fail × distress [4% × \$3.00]					\$0.12
= Expected per share					\$0.55	= Expected per share					\$0.85	= Expected per share					\$2.42	= Expected per share					\$25.76	= Expected per share					\$129.21
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT									
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y						
\$0.89	\$1.43	\$2.30	\$3.70		\$1.31	\$2.01	\$3.10	\$4.76		\$3.64	\$5.47	\$8.23	\$12.37		\$36.98	\$53.09	\$76.22	\$109.42		\$181.22	\$254.18	\$356.49	\$500.00						
0.02×	0.04×	0.06×	0.09×		0.03×	0.05×	0.08×	0.12×		0.09×	0.14×	0.20×	0.31×		0.91×	1.31×	1.88×	2.70×		4.47×	6.27×	8.80×	12.34×						

IonQ People · Opportunity · Context · Deal

Bear \$0.85 Base \$2.42 Bull \$25.76

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Niccolo de Masi

1 yrs in seat

3.5%

insider ownership

MEDIUM

key-person risk

Capital allocation (realized)

Niccolo de Masi became CEO in February 2025 (a director since 2021, from the SPAC-sponsor family that took IonQ public) and added the Chairman role in August 2025 when prior CEO Peter Chapman exited the board. Both academic co-founders had already left (Christopher Monroe 2023, Jungsang Kim 2024). Capital allocation is an aggressive, equity-funded acquisition roll-up: ~\$3.5B cash pro forma after a \$2B October 2025 raise, with mostly-stock deals (Oxford Ionics ~\$1.06B, SkyWater ~\$1.8B, plus Lightsynq/Qubitek/ID Quantique) driving heavy dilution. No dividend or buyback.

Incentive alignment

CEO pay is overwhelmingly equity (the exact Summary-Compensation-Table figure was not retrievable; an aggregator put it near \$90M). After ~64% say-on-pay support in 2025, the committee shifted PSU weighting toward revenue and cut maximum payouts. Insiders sold heavily in 2025 (~\$400M, including ~\$269M by the departing prior CEO and ~\$105M by de Masi); 2026 selling is smaller, mostly RSU tax withholding. Insider ownership is a derived ~3-4% (it was ~11.6% in 2024 before the share count nearly doubled).

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no super-voting, no controlling shareholder (largest holders Vanguard ~10%, BlackRock ~8%)
- combined Chair & CEO (de Masi consolidated both in August 2025) with no confirmed lead independent director since early 2025 — an independent-oversight gap
- classified / staggered board (three classes) — an entrenchment feature
- both academic co-founders departed (2023, 2024) and the prior CEO fully exited (2025) — wholesale leadership turnover
- recurring say-on-pay pushback (~64% support in 2025) and ~\$400M of 2025 insider selling
- aggressive stock-funded acquisition roll-up — repeated, material dilution

PEOPLE READ

The structural positive is genuine — one share, one vote, no controlling block, so shareholders are not disenfranchised. But this is a weak 3 on practice: a combined Chair/CEO with no confirmed lead independent director, a classified board, a ~64% say-on-pay vote, ~\$400M of 2025 insider selling, and a strategy concentrated in a CEO of under two years pursuing a heavily dilutive acquisition roll-up. Key-person risk is moderate — the science survived both founders’ departures, so it is the governance concentration, not individual dependence, that is the bigger flag.

THE FOUR LEGS

People

observable composite · 1–5



Opportunity

The scenario distribution · the business snapshot

Context

The 7 Powers analysis (Power Origination)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the -74.4% finding) + position sizing.

lonQ supporting analysis · disclaimers · glossary

Bear \$0.85 Base \$2.42 Bull \$25.76

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Best-capitalized pure-play.
\$2.4B cash + \$470M RPO + SkyWater vertical integration. Multi-year runway with optionality no other public quantum has.
- 2

AQ#64 hit early.
Tempo achieved AQ#64 three months ahead of schedule — first to do so. Real execution beats slideware.
- 3

Federal tailwind is real.
DARPA QBI Stage B + HARQ + DOE/NQI's \$2.7B/5yr authorization disproportionately benefits US-based trusted-supply players.
- 4

Trapped-ion fidelity moat.
Industry-leading 2Q gate fidelity (~99.9%+) is a physics advantage, not process — hard for superconducting/neutral-atom to close.
- 5

Cloud distribution unique.
Available on AWS Braket, Azure Quantum, Google Cloud. Only Quantinuum has comparable reach; IBM/Google don't partner cross-platform.

FALSIFICATION TRIGGERS

Bear validation

AQ#256 slips past 2027 · RPO stalls · SkyWater unclosed (FTC 2nd Request); no closing 8-K by Sep 30 '26 · Aug 5 federal-revenue detail confirms alleged gap · Quantinuum marquee enterprise win

Bull validation

AQ#256 hit by H1 2027 · First verified commercial quantum advantage on customer workload · Multi-product share >50% · 2nd large govt contract (>\$100M)

Reframe needed

If QuEra's Libra (256+ logical, Jun '26) or Pasqal (200+ by 2029) ships verified fault-tolerance ahead of trapped-ion — trips on shipped capacity, not announcement; revisit TAM share

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Trapped-ion qubits — lonQ's qubit modality — ytterbium ions in electromagnetic traps, manipulated by lasers. Highest gate fidelity but slower clock than superconducting.

AQ (Algorithmic Qubits) — lonQ's benchmark for usable capacity. AQ#N = circuits requiring 2^N states. AQ#64 hit 2026; AQ#256 targeted 2027.

Quantum advantage — Quantum solving a problem faster/cheaper than classical. Google's Willow demonstrated verifiable advantage on chemistry Oct 2025; no commercial advantage verified yet.

Quantinuum — Honeywell-backed full-stack trapped-ion competitor. IPO'd Jun 2026 at \$60 above range (>\$14B; trades as QNT, below issue); better logical-qubit performance (48 logical at 99.92%).

SkyWater — US semiconductor foundry lonQ agreed to acquire (~\$1.8B; FTC 2nd Request Apr 2026, unclosed as of Jul 2026). Domestic chip fab — the base/bull 200K-qubit-chip path rests on it.

Tempo / Forte — lonQ system generations. Forte = current commercial (AQ#36). Tempo = next-gen, AQ#64 demonstrated, 256-qubit chip.